Reg. No									

St. Joseph's College of Arts& Science (Autonomous)

St. Joseph's College Road, Cuddalore–607001

B.COM DEGREE EXAMINATION-APRIL 2021

CM305T - CORPORATE ACCOUNTING – I

Time: 3 hrs **Max Marks: 75**

SECTION - A (10x2=20)

Answer ALL the questions

1. What is meant by company?
2. Write short note on "Foreign Company".
3. Define share.
4. What are Calls-in-arrears?
5. What are preference shares?
6. State any two features of debenture.
7. What is dividend?
8. What is advance payment of income tax?
9. Write a note on 'Pre incorporation profit'.
10. Give the meaning of the term 'Purchase consideration.

SECTION - B (5X5=25)

Answer Any FIVE Questions

11. What are the features of a company?
12. Batliboi Co. Ltd., issued 50,000 equity shares of Rs. 10 each to the public on condition that full amount of shares will be paid in a lump sum. All these shares were taken up and paid by the public. Pass journal entries in the books of company when shares are issued (i) at par (ii) at a premium of 10 % and (iii) at a discount of 10 %.
13. What are the various types of debentures issued by a company?
14. The following extracts from the balance sheet of Gayathri Co. Ltd., as on 31st December 2015, is given to you.

    Share Capital:

    2,00,000 Equity shares of Rs. 10 each - Rs. 20,00,000

    3,00,000, 6 % Redeemable Preference Shares of Rs. 10 each - Rs. 30,00,000

    Capital Reserve – Rs. 15,00,000
    General Reserve – Rs. 9,00,000
    Profit & Loss A/c –Rs. 25,50,000

    The Company exercises its option to redeem the Preference Shares on 1st January, 2016. The company has sufficient cash. Give journal entries to record the redemption.

15. Explain the following terms: (i) Ex-interest and (ii) Cum-interest

16. A company carried forward a balance of Rs. 1,20,000 in the Profit & Loss account from the year ended 31st March 2006. During the year 2007 it made a further profits before tax of Rs. 8,00,000. It was decided that following provisions and transfers be carried our:

(i) Dividend equalisation account Rs. 30,000
(ii) Provision for taxation Rs. 2,20,000
(iii) General reserve Rs. 1,05,000
(iv) Development rebate reserve Rs. 1,10,000
(v) Dividend at 9 % on preference shares of Rs. 5,00,000
(vi) Dividend at 15 % on 1,00,000 equity shares of Rs. 10 each fully paid

You are required to give Profit & Loss Appropriation account.

17. You are required to calculate the time ratio for the Pre and Post incorporations periods from the following particulars.

(i) Date of incorporation: 1st June 2009
(ii) Period of financial accounts: April 2009 to March 2010
(iii) Total Wages Rs. 4,800
(iv) Number of workers: Pre Incorporation Period: 5
Post Incorporation Period: 25

Also divide the total wages between Pre and Post Incorporation periods.

SECTION - C (3X10=30)

Answer any THREE Questions

18. Discuss the differences between a partnership firm and a company.

19. A limited invited application for 10,000 shares of Rs. 100 each at a discount of 5 % payable as follows:

On application Rs. 25
On allotment Rs. 34
On first & final call Rs. 36

Applications were received for 9,000 shares and all of these were accepted. All moneys due were received except the first and final call on 100 shares which were forfeited. Of the forfeited shares, 50 shares were reissued at the rate of Rs. 90 as fully paid. Show necessary journal entries in the books of the company.

20. On 1-1-2008,Y Ltd., issues 4,000, 12 % debentures of Rs. 100 each repayable at the end of four years at a premium of 5 %. It has been decided to institute a Sinking Fund for the purpose, the investments being expected to realise 4% net. Sinking Fund table show that 0.235490 amounts to Rs. 1 @ 4 % in four years. Investments were made in multiples of hundred only. On31-12-2011, the balance at bank was Rs. 1,18,000 and the investments realised Rs. 3,13,600.The debentures were paid off. Show ledger account except for debenture interest.

21. Moon and Star Co. Ltd., is a company with an authorised capital of Rs. 5,00,000 divided into 5,000 equity shares of Rs. 100 each on 31-12-2013 of which 2,500 shares were fully called up. The followings are the balances extracted from the ledger as on 31-12-2013.

Trial Balance of Moon & Star Co. Ltd.,

Debit	Rs.	Credit	Rs.
Opening stock	50,000	Sales	3,25,000
Purchases	2,00,000	Discount received	3,150
Wages	70,000	Profit & Loss A/c	6,220
Discount allowed	4,200	Creditors	35,200
Insurance (upto 31-03-2014)	6,720	Reserves	25,000
Salaries	18,500	Loan from managing director	15,700
Rent	6,000	Share capital	2,50,000
General expenses	8,950		
Printing	2,400		
Advertisements	3,800		
Bonus	10,500		
Debtors	38,700		
sPlant	1,80,500		
Furniture	17,100		
Bank	34,700		
Bad debts	3,200		
Calls-in-arrears	5,000		
	6,60,270		**6,60,270**

You are required to prepare profit and loss account for the year ended 31-12-2013 and a balance sheet as on that date. The following further information is given:

(a) Closing stock was valued at Rs. 1,91,500
(b) Depreciation on plant at 15% and on furniture at 10% should be provided
(c) A tax provision of Rs. 8,000 is considered necessary
(d) The directors declared an interim dividend on 15-08-2013 for 6 months ending June 30,2013 @ 6 %.

22. Don Allot Ltd. was formed to take over the assets and liabilities of ShriLaxmanand to acquire the adjacent premises. The Balance Sheet of ShriLaxman on 31st December 2008 was as follows:

Liabilities	Rs.	Assets	Rs.
Trade creditors	8,000	Cash in hand	2,000
Capital	1,60,000	Cash at bank	12,000
		Book debts	18,000
		Stock	78,000
		Furniture	10,000
		Land & Buildings	48,000
	1,68,000		**1,68,000**

The purchase consideration was agreed at Rs. 2,00,000 and was to be paid as under:

(i) 5,600 equity shares of Rs. 20 each, fully paid
(ii) Rs. 68,000 in 6 % preference shares of Rs. 100 each issued at par
(iii) Rs. 20,000 in cash

All the assets and liabilities were valued as per above balance sheet except the book debts which were subject to a bad debts provision of 5 %.

The company raised further capital by issue of 15,000 equity shares of Rs. 20 each.

The adjoining premises were purchased for Rs. 1,00,000 and additional stock of Rs. 1,40,000 was obtained from open market.

Record the above transactions in the books of Don Allot Ltd., through journal entries and draft its opening balance sheet.

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